

INSURANCE AND PENSIONS COMMISSION



QUARTERLY REPORT FOR FUNERAL ASSURERS

FOR THE QUARTER ENDED 30 SEPTEMBER 2016

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2.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Yearly growth
Q1	First Quarter
Q3	Third Quarter
'15	2015
'16	2016
H1	Half year
Var	Variance
F. Funeral	First Funeral
NOTE:	ALL MONETARY FIGURES ARE IN USD

This report is based on direct funeral insurers only and does not include funeral business underwritten by life companies.

3.0 Industry Overview

The funeral industry wrote \$28,722 million in net premiums (Sept 2016: \$26,908 million). Net premiums inflow grew by 7% from the comparative period last year which was matched by an identical surge in total costs.

Cumulative technical profit for the period is \$4.866 million, representing 5% increase as compared with the same period in 2015. The expense and combined ratios were reportedly 50% and 83% respectively reflecting tight cost management efforts by players.

Total industry assets as at 30 Sept 2016 were \$60.294 million, a 22% growth from \$49.271 million reported for the same period last year mainly due to investment in property and other funeral service related assets. Liabilities of \$30,270million were reported resulting in \$30,024 in free assets (capita). Three players continued to be non-compliant with the minimum capital level of \$1 500 000. Engagements are being embarked on to restore parity with the law.

Prescribed assets compliance continued to be well below the required 7.5% with the average remaining below 1%. The Commission will continue to institute corrective measures until compliance is achieved. Table 1, below summarizes the key performance indicators for the funeral assurance industry.

Table 1: Summary of Financial Performance by the Funeral Assurance Industry for the period ended 30 September 2016

Financial Aspect	Funeral Assurers		
	Sep-15	Sep-16	Growth
Gross Premiums Written (\$000)	26,909	28,722	7%
Net Premiums Written (\$000)	26,908	28,722	7%
Retention Ratio	100%	100%	0
Total Gross Claims (\$000)	7,093	9,499	34%
Total Net Claims (\$000)	7,093	9,499	34%
Management Expenses (\$000)	13,023	12,244	-6%
Commissions (\$000)	2,150	2,113	-2%
Total Costs (\$000)	22,266	23,856	7%
Technical Profit (\$000)	4,643	4,866	5%
Expense Ratio	56%	50%	-6%
Claims Ratio	26%	33%	7%
Combined Ratio	82%	83%	1%
Total Assets (\$000)	49,271	60,294	22%
Total Liabilities (\$000)	24,780	30,270	22%
Current Assets	15,530	22,931	48%
Current Liabilities	12,251	12,099	-1%
Capital (\$000)	24,491	30,024	23%
Capital to liability Ratio	99%	99%	0
Prescribed Assets (\$000)	108	234	117%
Prescribed Asset Ratio (%)	0	0	0

4.0 Update on Operations

The table below shows the total number of registered agents as at 30 September 2016 and the total workforce employed by the funeral industry for the same period. Players are required to ensure that all agents are registered with the Commission and that all statutory fees and levies are paid timeously to the Commission to avoid statutory penalties.

Table 2: Registered Agents and Operational Staff

Name of Company	Corporate Agents	Sole Agents	Staff	Branches
Cell	0	0	13	2
Doves	0	90	60	24
First Funeral	0	19	45	10
Foundation	0	18	28	1
Moonlight	0	66	122	34
Passion	1	4	5	3
Ruvimbo	0	6	50	8
Sunset	0	2	7	2
Vineyard	3	11	58	5
Total	4	216	388	89

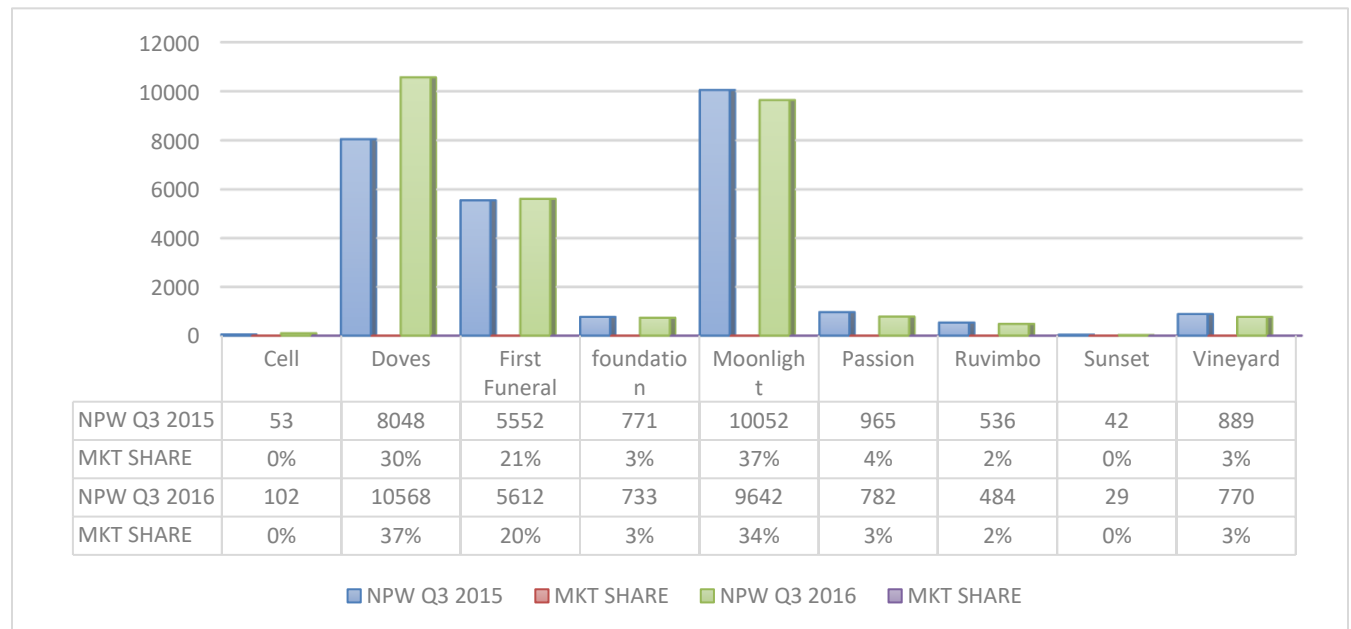
For the year ended 30 September 2016, players wrote \$28.722 million in Net Written Premiums (Sept 2016: \$26.909 million), a 7% growth compared to the same period last year (See Table 3, below). However, most companies wrote less business compared to the same period in 2015 besides Cell, Doves and First Funeral reflecting the liquidity and affordability challenges.

Table 3: Net Premium Distribution by Company for the year Ended 30 September 2016

Name Of Company	Sept 2015(000)	Sept 2016(000)	Growth
Cell	53	102	92%
Doves	8,048	10,568	31%
First Funeral	5,552	5,612	1%
Foundation	771	733	-5%
Moonlight	10,052	9,642	-4%
Passion	965	782	-19%
Ruvimbo	536	484	-10%
Sunset	42	29	-31%
Vineyard	889	770	-13%
Total	26,908	28,722	7%

For the period ended 30 September 2016; the bulk of the business was concentrated on the top three funeral assurers who wrote 90% of the net premiums. This business distribution exhibits a market that is highly concentrated towards the three biggest players(See Figure 1,below)

Figure1: Market Share by Net Premium Written for the year Ended 31 March 2016



5.0 Business Composition.

For the period under review, the industry wrote \$28.722 million in gross premiums.

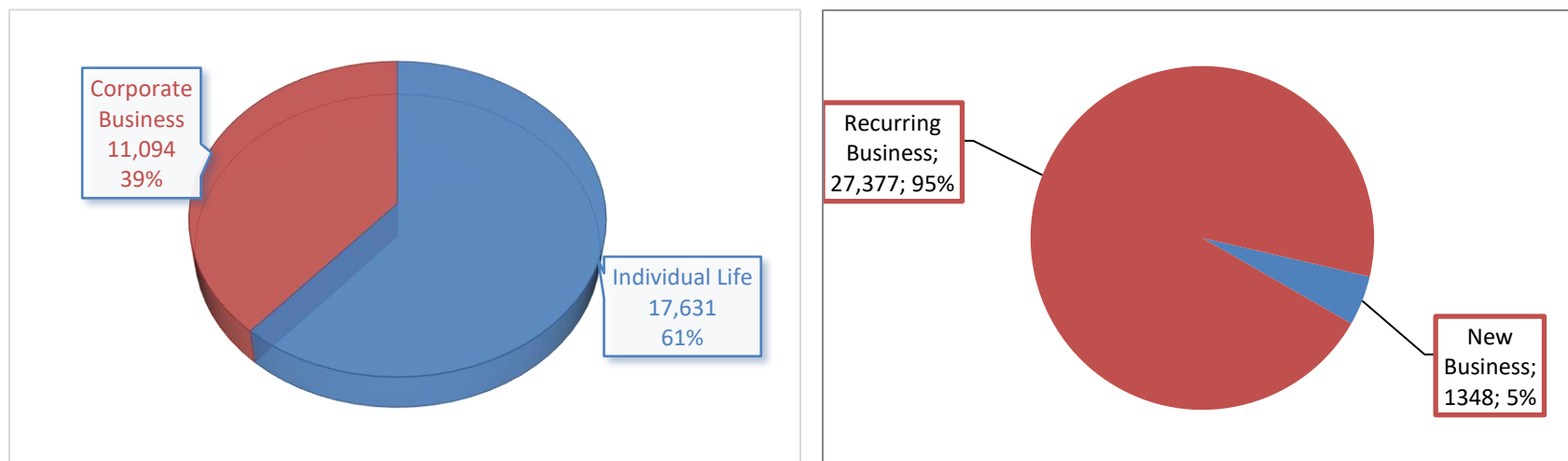
In the period under review, Individual policies generated 61% of the total business underwritten while corporate business contributed the remaining 39% of the gross premiums written by the funeral industry. New business remains elusive, with funeral assurers only underwriting 5% of the total business. The remainder of the business, 95%, was recurring.

More life companies continue to offer competitive funeral products, which has resulted in direct funeral companies realizing less new business. The coming in of micro insurers in the future may translate to more cheaper products for the insuring public. Players are encouraged to brace themselves for more competition and to find new markets for their products. The composition of business underwritten for the period ended 30 September 2016 is as shown in table 4 and Figure 2 below.

Table 4: Business Composition by Company for the Cumulative Period Ended 30 September 2016 (000)

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Sep-15	Sep-16	Growth (%)	Sep-15	Sep-16	Growth (%)	Sep-15	Sep-16	Growth (%)	Sep-15	Sep-16	Growth (%)	Sep-15	Sep-16	Growth (%)
Cell	0	-	0%	0	21	#DIV/0!	1	0	0%	53	81	53%	54	102	89%
Doves	40	34	-15%	1,082	1,114	3%	135	280	107%	6,790	9,140	35%	8,047	10,568	31%
F. Funeral	10	4	-60%	5,541	5,608	1%	0	0	0%	0	0	0%	5,551	5,612	1%
Foundation	7	7	0%	764	316	-59%	0	0	0%	0	410	0%	771	733	-5%
Moonlight	65	542	734%	3282	9,100	177%	0	0	0%	6,705	0	-100%	10,052	9,642	-4%
Passion	19	3	-84%	304	191	-37%	36	2	-94%	606	587	-3%	965	783	-19%
Ruvimbo	74	53	0%	146	431	195%	32	0	0%	285	0	0%	537	484	-10%
Sunset	0	26	0%	142	3	-98%	0	0	0%	0	0	0%	42	29	-31%
Vineyard	5	118	2260%	333	60	-82%	29	277	855%	523	315	-40%	890	770	-13%
TOTAL	220	787	258%	11,594	16,844	45%	233	559	140%	14,962	10,533	-30%	26,909	28,723	7%

Figure 2: Business Composition for the Cumulative Period Ended 30 September 2016



6.0 Not-taken Up policies and Lapsed Policies

For the current reporting period, funeral assurers reported not-taken up policies amounting to \$68 000.00. The number of lapses for individual policies is higher than previous quarters. Players are encouraged to be innovative and engage their insureds in providing value –adding yet affordable products (see Table 5, below).

Table 5: Not-taken up policies and Lapsed Policies

	Not Taken Up Policies	Lapse Ratios	
	Total Premiums (000)	Individual (%)	Group Bus (%)
Cell	18	0	0
Doves	0	0	0
First Funeral	18	69	0
Foundation	3	107	0
Moonlight	0	90	0
Passion	0	0	0
Ruvimbo	0	15	0
Sunset	29	6.27	0
Vineyard	0	11.67	7.92
Total	68	N/A	N/A

7.0 Claims Aged Analysis

The total outstanding claims for the period amounted to \$118 000. The Commission considers prompt payment of claims as a key performance indicator and aged claims must be settled as a matter of extreme urgency (See Table 6, below).

Table 6: Claims Aged Analysis (000)

Name of Company	Cell	Doves	F.Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	1	0	13	0	3	0	4	10	0	31
31-60days	0	0	10	0	0	0	3	4	0	17
61-90days	0	0	0	0	0	0	3	0	0	3
91-120days	0	0	0	0	0	0	17	3	0	20
<121 days	0	0	0	21	0	0	26	0	0	47
Reinsurance	0	0	0	0	0	0	0	0	0	0
Total	1	0	23	21	3	0	53	17	0	118

8.0 Debtors Aged Analysis

For the current reporting period, the industry recorded total premium debtors amounting to \$3.725 million or 12.97% of the gross premiums underwritten by the industry. As a partial measure to ameliorate the current liquidity challenges, players and policyholders are encouraged to utilise mobile banking technologies to fund premium and claims transactions for convenience and efficiency.

Table 7: Debtors Aged Analysis

Name of Company	Cell	Doves	F.Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	4	186	0	4	381	29	0	3	76	683
31-60days	0	0	42	11	199	37	18	2	90	399
61-90days	1	0	83	4	281	39	24	4	57	493
91-120days	1	0	125	7	368	37	31	0	48	617
<121 days	0	0	0	50	650	697	79	0	57	1533
Total	6	186	250	76	1879	839	152	9	328	3725

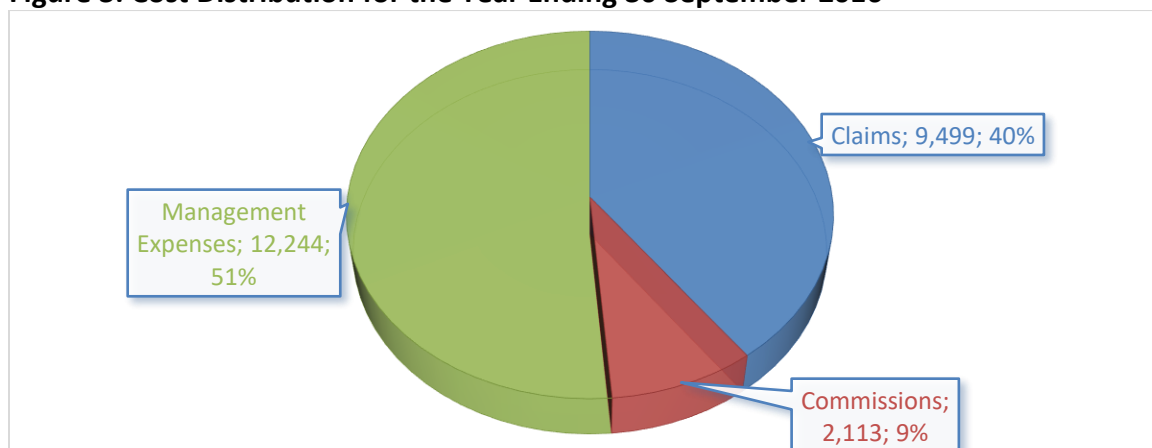
9.0 Earnings

The key earnings indicators for the funeral assurance industry are as shown in Table 8 and Figure 3 below.

Table 8: Key Earnings Indicators by Company for the Year Ended 30 September 2016

Co. Name	NPW	Claims (000)			Commission (000)			Mgt Expenses (000)			Total Costs (000)			Combined Ratio		
	Sep-16	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth	Sep-15	Sep-16	Growth
Cell	102	9	1	-89%	0	0	0	70	143	104%	79	144	82%	149%	141%	-8%
Doves	10568	3,217	4,160	29%	639	911	43%	2,027	3,222	59%	5,883	8,293	41%	73%	78%	5%
F.Funeral	5612	1,594	1,688	6%	1,061	1,088	3%	1,533	1,433	-7%	4,188	4,209	1%	75%	75%	0%
Foundation	733	105	98	-7%	63	39	-38%	551	528	-4%	719	665	-8%	93%	91%	-2%
Moonlight	9642	1,749	3,133	79%	342	0	-100%	7,644	5,746	-25%	9,735	8,879	-9%	97%	92%	-5%
Passion	782	234	181	-23%	3	2	-33%	487	372	-24%	724	555	-23%	75%	71%	-4%
Ruvimbo	484	46	53	15%	20	19	-5%	344	346	1%	410	418	2%	76%	86%	10%
Sunset	29	0	4	0	2	0	-100%	22	21	0%	24	25	4%	27%	86%	59%
Vineyard	770	139	181	30%	20	54	170%	345	433	26%	504	668	33%	57%	87%	30%
Total	28722	7,093	9,499	34%	2,150	2,113	-2%	13,023	12,244	-6%	22,266	23,856	7%	80%	83%	3%

Figure 3: Cost Distribution for the Year Ending 30 September 2016



For the period under review, operational costs amounted to \$12.24 million or 51% of total costs (Sept 2015: \$13.02 million); claims- \$9.50 million or 40% and total commission was 9% (\$2.1 million) of total costs. Cost management is a critical survival strategy in this challenging economic climate and should be a priority for the industry.

The industry recorded an average combined ratio of 83% (Sept 2015:80%) and claims ratio of 33%.

10. Asset Quality

The total asset base and growth of the funeral industry as at 30 September 2016 is shown in Table 9, Figure 4a & b below.

Table 9: Funeral industry Asset Base as at 30 September 2016

	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets (000)			Total Assets (000)		
	Sep-15	Sep-16	Var	Sep-15	Sep-16	Var	Sep-15	Sep-16	Var	Sep-15	Sep-16	Var	Sep-15	Sep-16	Var	Sep-15	Sep-16	var	Sep-15	Sep-16	Growth
Cell	890	1,183	33%	16	16	0%	118	71	0%	0	2	0	79	16	-80%	0	0	0%	1,103	1,288	17%
Doves	3,529	4,974	41%	5	4	-20%	103	0	-100%	283	687	143%	13,294	17,072	28%	23	60	161%	17,237	22,797	32%
F. Funeral	1,060	905	-15%	37	10	-73%	0	0	0%	28	-79	-382%	7,400	9,080	23%	0	0	0%	8,525	9,916	16%
Foundation	1,395	1,395	0%	0	0	0%	35	17	-51%	30	62	107%	686	807	18%	48	84	75%	2,194	2,365	8%
Moonlight	9,758	11,094	14%	0	0	0%	0	0	0%	12	8	-33%	3,335	4,460	34%	16	45	181%	13,121	15,607	19%
Passion	640	640	0%	0	0	0%	0	0	0%	28	29	4%	561	873	56%	0	0	0%	1,229	1,542	25%
Ruvimbo	1,094	1,752	60%	0	0	0%	0	0	0	7	66	843%	1039	1,077	4%	2	7	250%	2,142	2,902	35%
Sunset	1,699	1,694	0%	0	0	0%	0	0	0%	1	3	200%	0	9	0	0	0	0%	1,700	1,706	0%
Vineyard	1,329	1,475	11%	3	2	-33%	40	35	-13%	42	37	-12%	587	583	-1%	19	39	105%	2,020	2,171	7%
Total	21,394	25,112	17%	61	32	-48%	296	123	-58%	431	815	89%	26,981	33,977	26%	108	235	118%	49,271	60,294	22%

Figure 4a: Asset Base as at 30 September 2016

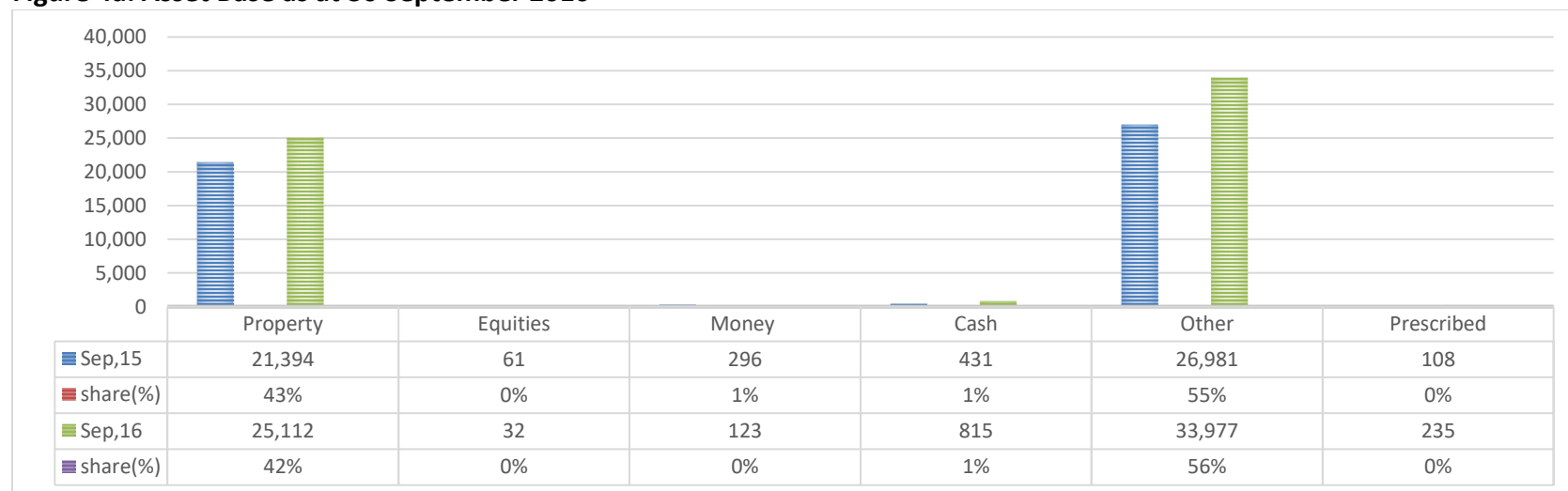
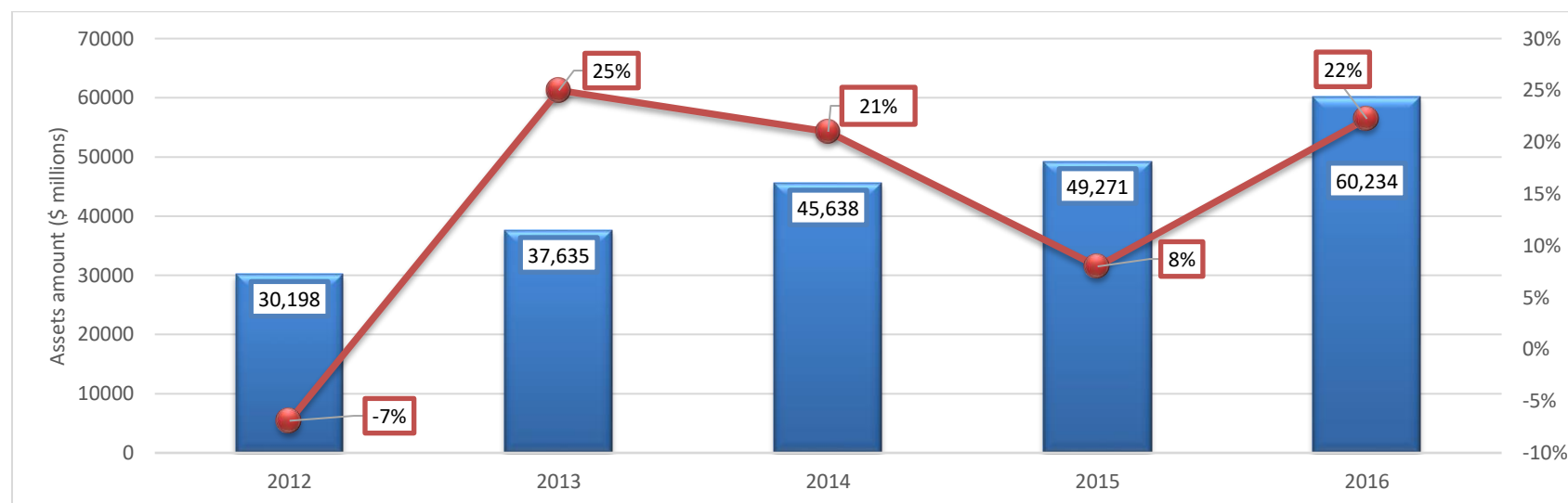


Figure 4b: Asset Growth (Third Quarters)



As at 30 September 2016, the total asset base remains highly skewed towards fixed property-42% or \$25.112million (Sept 2015: \$21.394 million or 43%), equities-\$0.032 million or 0 % (Sept 2015: 0.061million:0%), money market-\$0.123 million or 0 % (Sept 2015: 0.296 million or 1%) cash assets-1% or \$0.815million (Sept 2015: \$ 0.431 m or 1%) and other assets-\$33.977 million or 56% (Sept 2015: \$26.98 million or 55%). The uptake of prescribed paper is extremely non-compliant. Thus IPEC will continue to penalize the industry and other engagement measures to ensure corrective action is taken until full compliancy with government paper.

The growth in assets experienced a strong rebound of 25% in 2013 after suffering negative growth in 2012 of -6.75%. From 2014 growth in assets started to decline at an increasing rate reaching almost flat growth in 2016. This can be explained by huge decline in equities, money markets and other assets.

11. Capitalization and Solvency

The Commission has noted that only three funeral assurers reported capital above the proposed \$2.5 million expected by 31 December 2017(See Table 10, below).

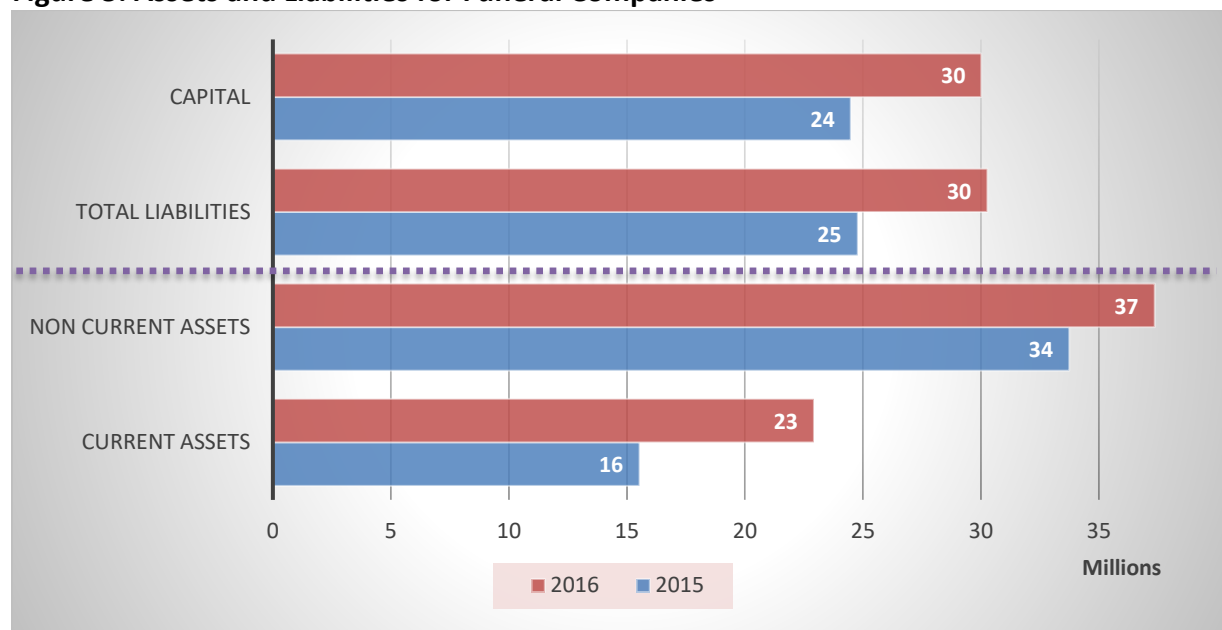
Table 10: Levels of Capitalization, Liquidity and Solvency Indicators as at 30 September 2016*

Company	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)		
	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%	Sep-15	Sep-16	%
Cell	213	105	-51%	293	302	3%	1,103	1,288	399	658	65%	704	630	-11%	176%	96%	-80%	73%	35%	-38%
Doves	7,482	11,159	49%	1,224	2,239	83%	17,237	22,797	6,973	9,839	41%	10,264	12,958	26%	147%	132%	-15%	611%	498%	-113%
F.Funeral	2,534	4,716	86%	156	426	173%	8,525	9,916	2796	3,472	24%	5,729	6,444	12%	205%	186%	-19%	1624%	1107%	-517%
Foundation	540	681	26%	465	281	-40%	2,194	2,365	1,607	1,504	-6%	587	861	47%	37%	57%	20%	116%	242%	126%
Moonlight	3,347	4,468	33%	8,848	7,912	-11%	13,121	15,607	11,517	13,066	13%	1,604	2,541	58%	14%	19%	5%	38%	56%	18%
Passion	427	744	74%	380	97	-74%	1,229	1,542	380	421	11%	849	1,121	32%	223%	266%	43%	112%	767%	655%
Ruvimbo	446	542	22%	621	564	-9%	2,142	2,902	621	737	19%	1,521	2,165	42%	245%	294%	49%	72%	96%	24%
Sunset	2	13	550%	123	200	63%	1,700	1,706	123	200	63%	1,577	1,506	-5%	1282%	753%	-529%	2%	7%	5%
Vineyard	539	503	-7%	141	78	-45%	2,020	2,171	364	373	2%	1656	1,798	9%	455%	482%	27%	382%	645%	263%
Total	15,530	22,931	48%	12,251	12,099	-1%	49,271	60,294	24,780	30,270	22%	24,491	30,024	23%	95%	99%	4%	127%	190%	63%

*The above figures are in thousands (000) unless stated.

Three players had capital levels below the stipulated \$1,500 000. Meanwhile, the Commission will continue to monitor these players who remain undercapitalized to ensure that they comply.

Figure 5: Assets and Liabilities for Funeral Companies



3.0 Summary of Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting its operations:-

Statutory Instrument Issued	Subject	Date Gazzeted
Statutory Instrument 21 of 2016	Insurance and Pensions Commission (Levy) Regulations, 2016	12 February 2016
Statutory Instrument 22 of 2016	Pensions and Provident Funds (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 23 of 2016	Insurance (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 24 of 2016	Pension and Provident Funds (Amendment) Regulations, 2016 Commutations	19 th February 2016
Statutory Instrument 25 of 2016	Insurance (Amendment) Regulations ,2016 Prescribed Assets	19 th February 2016

Circular Issued	Subject	Date Issued
Circular 1 of 2016	Investment Guidelines For Life and Self-Administered Funds	14 January 2016
Circular 2 of 2016	Benefit Statements To Members of Pension Funds	4 March 2016
Circular No. 6. Of 2016	Guidelines on Insurance Products for Life, Funeral Assurance and Non-Life Insurance Companies	13 July 2016
Circular No. 7. Of 2016	One Day Training for the Insurance and Pensions Industry on Anti- Money Laundering/ Combating of Financing Terrorism (AML/CFT)	22 August 2016
Circular No. 8. Of 2016	Seminar on Insurance Broker Trust Accounts	6 September 2016
Circular No. 9. Of 2016	Insurance Products Offered to the Agricultural Sector	20 September 2016

Prescribed Assets Update- 21 September 2016

Name of the Bond and Issuer	Purpose of the Bond and its salient Features	Uptake ratios
ZB Financial Holdings 2015/2016 Agro bills	✓ The target amount was \$5million at a coupon rate of 5%, ✓ intended to support the 2015/2016 agricultural season	\$4.716 million was raised from the pension and insurance industry only, indicating an uptake ratio of 94%. Repayments will be made on the 4 th of November 2016 and 19 th of December 2016
FBC & Agribank 2015/2016 Agrobills	✓ The target amount was \$20million at a coupon rate of 10%, ✓ intended to support the 2015/2016 agricultural season	A total of US\$20million raised from the market, representing 100% uptake of the Bills. Repayments to commence in June and will be fully paid in December. CLOSED

IDBZ Series 2 2014B (US\$50million)	✓ Refurbishment of Kariba South Power Station and Repowering of Harare Power Station. ✓ Bond has a tenor of 5 years at 9% coupon rate.	Bond fully subscribed as at 02 September 2016. Of the 50million raised, \$45.3million (90.6% of the total issue) was raised from the pension and insurance industry. CLOSED
Agricultural Marketing Authority (AMA Bills	✓ Finance the purchase of grain by the Grain Marketing Board ✓ \$50million at a coupon rate of 10.5%p.a	Bond Fully repaid in June 2016. CLOSED
Homelink	✓ Development of stands and construction of housing units ✓ Initial bond amount of \$15m. However the applicant is targeting to raise \$50million to complete the project.	No update at the moment on uptake
NMB	✓ A \$10 million bond issue, at an indicative coupon rate of 8% for a tenor of 5 years ✓ Purpose: Mortgage Loan facility for low income earners	Application was approved. No update from the issuer on its current availability.
Honde Hydro Power Consolidated	✓ Bond amount of \$5million with a coupon rate of 8.5% to 9%, with a tenor of 5years ✓ Purpose: Intended for the construction of Hauna Power Station and to use some of the funds as working capital	Application was approved on the 13 th of May 2016. No update from the issuer on its current availability.

IDBZ Series 1 2015B	✓ \$5million bond at a coupon rate of 9.5% with a tenor of 5 years ✓ Purpose: To finance housing projects namely New Marimba Park in Harare and Clipshan Views Suburb in Masvingo	Application was approved on the 13 th of May 2016. No update from the issuer on its current availability.
Agribank and FBC, 2016/2017 Agrobills	✓ Bond amount of US\$20million, coupon rate negotiable on private placement. ✓ Purpose: is to finance the 2016/2017 agricultural season.	Application approved on the 27 th of July 2016 and is now open for subscription. Available
Zimbabwe Electricity Transmission and distribution Company (ZETDC)	✓ Bond amount of \$15million at 7% per annum ✓ Purpose: to finance ZETDC Pre-Paid Meters	Application approved on the 27 th of July 2016 and is now open for subscription. Available
Agricultural Marketing Authority (AMA) Bills being arranged by CBZ	✓ Bills issue of \$50million at a coupon rate of 8.5% for a tenor of 360 days. ✓ Government Guarantee as security ✓ Purpose: to capacitate GMB to procure up to 100,000 metric tonnes of maize and 22000 metric tonnes of wheat	Application approved on the 9 th of September 2016 and is now open for subscription. Available

Conclusion

The indicators in the above report betray an industry facing challenges in relation to compliancy (capitalization and low prescribed assets ratio) as well as operational (slow business growth ,premium collection challenges).The Commission continues to deploy compliancy enforcement measures as well as promoting prudent business-supportive interventions in collaboration with the industry.